7 Risk and **Capital Management**

7.1 Risk Management Framework

Risk-taking at LHV must be transparent, well-reasoned, and aligned with long-term value creation. Risk is managed where it occurs, with clear ownership, accountability, and oversight. LHV takes on risk to achieve its strategic objectives, but this must not exceed its risk capacity in terms of financial or organisational resources, ensuring the bank's ability to sustain operations and deliver on its objectives over time. The Group's material risk types include solvency, credit, market, funding and liquidity, operational, model, compliance, financial crime and insurance risk. The Group has also defined ESG risk, geopolitical risk and reputational risk as material cross taxonomy risk drivers.

LHV Group's risk management framework ensures that risks are identified, assessed, managed, and reported in line with the Group's strategy and risk-bearing capacity. The framework follows the three lines of defence model and is supported by clear governance structures across the Group and its subsidiaries.

The Group Supervisory Board sets the overall risk appetite, approves risk management policies, and oversees adherence to them. It is supported by the Risk and Capital Committee and the Audit Committee. The Management Boards of Group entities implement the framework, ensure alignment with the risk appetite, and maintain the structures and resources needed to manage risks effectively.

In the first line of defence, business units and support functions own the risks arising from their activities and are responsible for operating effective controls. The second line comprises the risk management and compliance functions. The Chief Risk Officer leads the Group risk function, which maintains the risk framework, oversees ICAAP, models, methodologies, and consolidated reporting, and provides independent challenge and support to the first line. The compliance function monitors adherence to laws, regulations, and internal requirements. The third line of defence is internal audit, which independently evaluates the effectiveness of governance, risk management, and internal controls.

Risk management is integrated and forward-looking. Risk identification is based on a Group-wide taxonomy and an annual material risk assessment, with ad hoc updates for emerging risks. Risk assessment combines quantitative and qualitative methods, including stress testing and reverse stress testing. The Group applies a materiality-based approach, focusing resources on the risks with the highest potential impact. Material risks are governed by dedicated policies, monitored regularly, and guided by thresholds set in the Risk Appetite Statement. Mitigation tools include limits, diversification, collateral practices, hedging, operational resilience measures, and change management controls. Escalation procedures ensure that breaches of risk appetite or key indicators are addressed at the appropriate governance level.

Risk owners monitor risks continuously, while the risk management function provides independent oversight. Monitoring covers quantitative limits, qualitative indicators, early warning signals, and stress test results. A consolidated monthly Group risk report is presented to the Management and Supervisory Boards, covering developments across material risk types. The Compliance Officer provides a quarterly report to the Management and Supervisory Boards.

7.2 Capital Management and Adequacy

The Group's capital management is guided by the following principles:

- Maintaining Capital Adequacy: The Group and its subsidiaries must maintain sufficient capital to meet regulatory minimums, even under adverse conditions. Management buffers are maintained to ensure resilience under stress and enable timely corrective action before capital breaches become supervisory concerns.
- Risk Appetite as a Driver of Capital Targets: Internal capital targets and management buffers are informed by the Group's risk appetite. A higher risk appetite or greater business model complexity requires stronger capital reserves to maintain solvency through stress.
- Forward-Looking and Risk-Based Capital Planning: Capital planning is multi-year, integrated with strategic and financial plans, and grounded in risk-based analysis. It incorporates financial forecasts, internal stress testing, and ICAAP scenario outcomes.
- Management Actions: A predefined set of management actions is available to respond to early warning indicators or internal capital threshold breaches. These are aligned with the Group's Recovery Plan.
- CET1 Capital as the Foundation: CET1 is the primary focus of capital management, as it is the only capital type that absorbs losses in a going-concern scenario.
- Capital Buffers Held at Group Level: Buffers are primarily maintained at the parent company level to ensure Group-wide flexibility and support for subsidiaries when needed.
- Ongoing Reduction of Regulatory Capital Requirements: The Group seeks to optimise capital efficiency over time through risk mitigation, portfolio diversification, and transparent communication to support favourable supervisory treatment.
- Transparency for Stakeholders: The Group is committed to transparency in its capital objectives and principles to reinforce market confidence and reduce systemic risk.

Capital requirements of LHV Group as of 01.01.2026	CET1	Tier 1	CAD
Base capital requirement	4.50%	6.00%	8.00%
Pillar 2 capital charge	1.69%	2.25%	3.00%
Total SREP capital requirements	**6.19%**	**8.25%**	**11.00%**
Capital conservation buffer	2.50%	2.50%	2.50%
Systemic risk buffer	0.00%	0.00%	0.00%
Countercyclical buffer	1.50%	1.50%	1.50%
O-SII buffer	2.00%	2.00%	2.00%
Total combined bufferbuffers	**6.00%**	**6.00%**	**6.00%**
Total general capital requirement	**12.19%**	**14.25%**	**17.00%**
Pillar 2 guidance	1.50%	1.50%	1.50%
Total supervisory capital requirement risk appetite expectation (including P2G)	**13.69%**	**15.75%**	**18.50%**

In addition to regulatory capital requirements, LHV applies internal management buffers on all capital layers, ranging from 1.45% for total capital adequacy (CAD) to 1.65% for CET1 capital adequacy.

LHV Group is subject to the minimum requirement for own funds and eligible liabilities (MREL), which can be used to cover losses in resolution planning. The regulatory MREL target levels of the ratios have been established at 31.47% for

MREL-TREA and 5.91% for MREL-LRE.

The Group uses the standard method for calculating capital requirements for credit and market risk and basic indicator approach calculating operational risk capital requirement.

Capital management in 2025

The Group considers net own funds, as defined in the capital adequacy regulation, as capital. Its own funds consist of Common Equity Tier 1 (CET1) capital, Additional Tier 1 capital and Tier 2 capital. The actual capital adequacy levels are presented in the table below.

All capital ratios remained strong and well above both the internal and regulatory requirements despite decent growth of risk weighted assets. This is attributable to internal capital generation through profits and issuance of capital instruments. Thus, as of 31 December 2025, the Group complied with all of the regulatory and internal capital requirements.

LHV Group issued EUR 50 million of Additional Tier 1 bonds in April 2025 and Additional Tier 1 bonds in the amount of EUR 15 million was called back on call date of 26.05.2025. LHV Group issued EUR 80 million of Tier 2 bonds in September 2025 and Tier 2 bonds in the amount of EUR 35 million was called back on call date of 30.09.2025. LHV Group issued EUR 60 million of MREL eligible bonds in June 2025.

As of 31 December 2025, the Group's MREL-TREA ratio equalled 35.38% (31 December 2024: 33.24%) and the Group's MREL-LRE ratio equalled 12.86% (31 December 2024: 12.41%), thus complying with the regulatory requirements.

The Group's leverage ratio amounted to 7.00% as of 31 December 2025 (31 December 2024 6.71%).

Capital base

EUR thousand	31 Dec 2025	31 Dec 2024
Paid-in share capital	32,786	32,419
Share premium	154,593	146,958
Legal reserves transferred from net profit	4,713	4,713
Other reserves	-2,529	2,440
Retained earnings	448,313	291,580
Intangible assets (subtracted)	-18,787	-21,834
Net profit for the reporting period (COREP)	62,723	148,969
Other adjustments	-2	-975
Own CET1 instruments	-13,500	0
Insufficient coverage for non-performing exposures	-204	0
CET1 instruments of financial sector entities where the institution has a significant investment	-6,023	-4,313
CET1 instruments of financial sector entities where the institution does not have a significant investment	0	0
Tier 1 capital	**662,083**	**599,957**
Additional Tier 1 capital	70,258	35,314
Total Tier 1 capital	**732,341**	**635,271**
Subordinated debt	135,924	90,196
Total Tier 2 capital	**135,924**	**90,196**
Net own funds for capital adequacy	**868,265**	**725,467**
Risk weighted assets		
Central governments and central bank under standard method	0	0
Credit institutions and investment companies under standard method	7,423	6,037
Companies under standard method	651,412	1,665,901
Retail claims under standard method	197,284	266,859
Public sector under standard method	0	0
Housing real estate under standard method	2,349,374	817,613
Overdue claims under standard method	65,988	21,513
Investment funds' shares under standard method	0	6,706
Other assets under standard method	42,118	289,432
Total capital requirements for covering the credit risk and counterparty credit risk	**3,313,599**	**3,074,061**
Foreign currency risk	122,105	89,260
Interest position risk	0	0
Equity portfolio risk	291	1,176
Credit valuation adjustment risk	9,694	3,526
Operational risk under base method	354,509	385,580
Total risk weighted assets	**3,800,198**	**3,553,603**
Capital adequacy (%)	**22.85**	**20.41**
Tier 1 capital ratio (%)	**19.27**	**17.88**
Core Tier 1 capital ratio (%)	**17.42**	**16.88**

7.3 Credit risk

Credit risk is the risk of financial loss to the Group arising from a borrower, counterparty, or issuer failing to meet contractual obligations in full or on time, or from a deterioration in their credit quality. It encompasses both direct lending activities and exposures from trading, investment, and settlement transactions. Credit risk may materialise through borrower default, credit migration, excessive concentrations, counterparty default on derivatives and securities financing, settlement failures, or the ineffective use of credit risk mitigants such as collateral or guarantees.

7.3.1 Credit risk management

The principles of credit risk management are defined in the Group's Credit Risk Policy, while their detailed application and decision-making procedures are governed by supporting internal regulations.

Credit risk is one of the largest risks for the Group's business. Therefore, management carefully manages its exposure to credit risk. A central principle for Group is that each credit business unit is fully accountable for the risks it assumes and must ensure that credit decisions align with Group-wide policies and strategic objectives. Business units are also responsible for embedding appropriate internal controls throughout the credit process to ensure sound and consistent risk management practices.

The credit process is proportionate to the size and risk profile of each exposure, ensuring that more complex or higher-risk cases are subject to enhanced analysis and oversight. Larger exposures exceeding EUR 1,000,000 are reviewed by the Credit Committee, while smaller or standardised exposures are handled by the Retail Banking Credit Committee or at lower approval levels, including credit officers or fully automated systems for consumer financing.

All credit decisions are supported by either rating or scoring models to assess the borrower's credit risk. Creditworthiness assessments focus on the borrower's ability and willingness to meet obligations, with particular attention to the clarity and sustainability of cash flows dedicated to loan repayment. Responsible lending principles are fully integrated, and environmental, social, and ethical considerations are embedded in credit decisions in line with the Group's ESG standards.

All credit exposures are monitored to enable early identification of significant increases in credit risk. The Group Risk function is responsible for independent oversight and control of credit risk management, including monitoring the credit process and enforcing risk limits. It regularly reviews the overall risk level and development of the credit portfolio and conducts stress testing as part of the annual Internal Capital Adequacy Assessment Process (ICAAP). Close attention is paid to identifying and monitoring of risk concentrations and significant exposures, both across portfolio segments and at the level of individual counterparties.

To support effective oversight, the Group's management bodies receive regular risk reporting, providing transparency on portfolio composition, credit risk developments, and any emerging risks, enabling timely and informed decision-making.

7.3.1.1 Credit risk measurement

The Group classifies the financial assets exposed to credit risk in the following key categories:

a) Cash and cash equivalents, due from central banks and investment companies

Management considers the credit risk exposure from cash and cash equivalents, held at the central bank, correspondent banks and investment institutions to be inherently low. Loans and advances to these counterparties are generally unsecured, but the credit risk is mitigated through careful assessment of their credit quality.

The Group evaluates counterparties based on external credit ratings assigned by Standard & Poor's or equivalent agencies (central banks typically do not have ratings). Where multiple ratings are available, either the average or the most conservative rating is applied. For Estonian credit institutions that lack external ratings but are subsidiaries of larger EU banking groups, the parent company's rating is used as a proxy. Based on this assessment, management has concluded that the expected credit loss (ECL) from exposures to credit institutions and investment companies is immaterial, given the strong credit profiles of the counterparties and the Group's policy of maintaining only highly liquid positions with them.

b) Debt securities and derivatives

The Credit Committee sets limits on taking credit risk associated with debt securities considering the issuer's rating. For debt securities in the Treasury portfolio, the credit position of the security is determined based on the ratings of external rating agencies. These ratings are continuously monitored and updated. The probability of default (PD) associated with each rating is mapped to LHV's rating scale. The bonds have no collateral. No principal and accrued interest receivables arising from debt securities are overdue as of 31 December 2025.

c) Lending

Group manages credit risk through comprehensive customer analysis prior to credit approval and ongoing monitoring throughout the loan lifecycle. Credit risk is measured using internal models that estimate key risk parameters: Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD).

Rating and scoring models, which estimate PD and risk grade, are used to estimate default risk of the counterparty. The assessment is made by using the customer segment specific models for homogeneous groups of customers. For legal entities with exposure more than EUR 1,000,000 rating models are used, for legal entities with exposure less than EUR 1,000,000 and private customers scoring models are applied.

Rating customers

Credits to legal entities (except apartment association loans) with total exposure to LHV of more than EUR 1,000,000 i.e., corporate portfolio, are evaluated using expert-based rating models. Following loan origination, customer financial positions are monitored at least quarterly. In addition, all customer credit ratings are reviewed at least annually to ensure they remain current and reflective of creditworthiness. Customers exhibiting a significant increase in credit risk are placed on a watchlist, where their financial position, liquidity, and collateral coverage are subject to more frequent and detailed monitoring.

A credit rating is assigned to a customer based on a combination of their financial position and business risk profile. The specific financial ratios and business risk factors considered depend on the applicable rating model: corporate, commercial real estate, residential development, or local governments.

The Group's internal rating methodology for estimating PD is based on a 13-grade scale, where 1 indicates the lowest credit risk and 13 represents the highest credit risk (default). Ratings 1 and 2 are assigned only to international enterprises, organisations, local governments, and sovereigns whose creditworthiness is supported by investment-grade ratings from external credit rating agencies. Rating classes 3 to 13 incorporate both external rating inputs and internal assessments. These categories primarily cover Estonian companies, most of which do not have external credit ratings, and are therefore evaluated based on financial indicators and qualitative risk factors defined within the Group's internal models.

Corporate ratings are categorised into three groups: investment grade, non-investment grade, and default. A counterparty is considered investment grade if it is not overdue as of the reporting date. Special monitoring status is assigned to exposures rated between 10 and 13, indicating increased credit risk. Rating 13 corresponds to default status, determined in accordance with the Group's internal definition of default.

Internal corporate rating models' PD scale and mapping to external ratings

LHV rating	LHV rating description	12-month PD%
1	Investment grade	0.03
2		0.05
3		0.10
4		0.20
5		0.30
6		0.40
7		0.50
8		1.00
9		2.50
10	Non-investment grade	5.00
11		10.00
12		30.00
13	Default	100.00

Scoring customers

Credits below EUR 1,000,000 to legal entities i.e., SME segment, loans to apartment associations irrespective of the loan amount, private mortgage and private non-mortgage customers are analysed with a more time-efficient scoring process. The scoring process is carried out at the time of submission of the loan application, and it is one of the criteria for issuing the loan. The probability of default (PD) is calculated by reference to the customer's financial data and payment behaviour.

Credits to previously mentioned segments are re-assessed upon each renewal of the credit commitment. After the initial recognition, the transactional and payment behaviour of the borrower is monitored and incorporated into monthly automated update of risk estimates; the underlying risk parameters are reviewed quarterly.

The scoring model PD grades for these segments follow the same logic as in the internal corporate rating model PD scale where grade 1 stands for the lowest and 13 for the highest credit risk (default).

Internal retail scoring models' PD scale

PD grade	Description	12-month PD%
1	Low risk	0.03
2		0.05
3		0.09
4		0.19
5		0.38
6		0.75
7	Medium risk	1.50
8		3.00
9		6.00
10	High risk	12.00
11		24.00
12		48.00
13	Default	100.00

The rating and scoring models are subject to annual validation and recalibration to ensure they remain accurate and reflect the latest projections in the light of all observed defaults.

7.3.1.2 Credit risk mitigation

Credit risk mitigation is achieved through a combination of tools, including risk-based pricing, collaterals, financial covenants, guarantees, and early warning systems. Among these, collateral is the primary risk mitigant. However, all credit decisions must be based first and foremost on the borrower's ability to repay the loan, with collateral acting as a complementary risk mitigant. The Group maintains internal policies that define the eligibility and acceptability of various types of collateral and credit risk mitigation techniques.

Long-term financing and lending to legal customers is generally secured. Consumer financing to individual customers is usually unsecured. The quality and structure of collateral must be appropriate to the overall risk of the transaction, i.e. higher-risk exposures require stronger, more liquid, and better-positioned collateral.

As part of the loan origination process, the Group conducts a valuation of the collateral securing the exposure. Collateral valuations are based on the principle of conservatism, considering the type and location of the asset and the likelihood of realisation and liquidity. When estimating the quick realization value of collateral, the Group applies a haircut to account for potential shortfalls. The size of the discount depends on several factors, including the type of collateral and the estimated time to realisation.

Collateral values are monitored and reassessed periodically. Expert assessments are used to evaluate immovables. To ensure that market values are up to date, the individual valuations of commercial real estate are updated at least once a year. Residential real estate is revalued quarterly using statistical indexation models.

Unsecured loans may be issued to private customers up to a specified limit. Consumer loans and credit cards are issued without collateral, and risk is mitigated by regular monitoring of customers' payment behaviour. Leasing and mortgage loans are all over-collateralised. For legal entities, unsecured lending is only allowed when cash flow forecasts show stable and sufficiently strong financial performance and/or the customer's credit risk is assessed as acceptable. In relation to under-collateralised corporate loans, it should be taken into consideration that the Group has assessed the market value of certain collaterals conservatively (personal sureties, commercial pledges).

The Group's policies on obtaining collateral remained unchanged during the reporting period, and there has been no material change in the overall quality of collateral held since the previous period.

7.3.1.3 Concentration risk

The Group manages concentration risk by setting exposure limits to specific sectors and counterparties, reflecting the maximum risk it is willing to accept.

7.3.2 Credit impairment framework

Credit impairment provisions are measured using a forward-looking expected credit loss (ECL) model in accordance with IFRS 9. At each reporting date, the Group evaluates whether the credit risk of a financial instrument has increased significantly since initial recognition. This assessment is based on changes in the risk of default occurring over the expected life of the instrument. Based on this assessment, financial instruments are classified into three stages. A financial instrument that is not credit-impaired on initial recognition is classified to 'Stage 1' and its credit risk is continuously monitored by the Group. If a significant increase in credit risk (SICR) since initial recognition is identified, the financial instrument is moved to Stage 2 but is not yet deemed to be credit impaired. If the financial instrument is credit-impaired, the financial instrument is moved to Stage 3.

Purchased or originated credit-impaired financial assets are those financial assets that are credit-impaired on initial recognition. Their ECL is always measured on a lifetime basis (treated similarly as Stage 3).

Change in credit quality since initial recognition

Stage 1	Stage 2	Stage 3
(Initial recognition)	(Significant increase in credit risk since initial recognition)	(Credit-impaired assets)
12-month expected credit losses	Lifetime expected credit losses	Lifetime expected credit losses

ECL calculations are based on four components:

- Probability of Default (PD): an estimate of the likelihood that a borrower will default over a specified time horizon.
- Exposure at Default (EAD): an estimate of the expected exposure at the time of default, considering future changes in exposure after the reporting date, including scheduled repayments and potential drawdowns on undrawn commitments.
- Loss Given Default (LGD): an estimate of the loss that would arise in the event of default, calculated as the difference between the contractual cash flows due and the amounts expected to be recovered, including from collateral. LGD is expressed as a percentage of the EAD.
- Discount Factor: a rate used to discount the expected credit losses to their present value as of the reporting date.

Individual allowances are applied to corporate exposures classified as non-performing (default, rating 13), where loan payments are overdue and/or there is significant uncertainty that the expected cash flows from collateral realisation will be sufficient to cover the outstanding principal and interest using a discounted cash flow approach. The loss allowance is measured as the difference between the carrying amount of the exposure and the present value of estimated future cash flows, discounted at the effective interest rate. The calculated allowances are approved by Credit Committee.

The Group aims to restructure loans rather than take possession of collateral if possible. Restructuring typically involves aligning the borrower's repayment schedule with their financial capacity such as temporarily reducing principal repayments, extending payment terms, or renegotiating loan conditions. Once revised terms are agreed and the borrower complies with them, the loan is no longer considered non-performing. These restructured loans are subject to regular monitoring to ensure that all conditions remain fulfilled and that future payments are likely to be made.

In 2025, LHV Pank updated several credit risk models to improve the accuracy of risk estimates. The key changes include:

- Behavioural Life Models: Introduced for all credit products, these new models predict the actual expected life of a loan by considering customer behaviours like prepayments and extensions. Consequently, the Expected Credit Loss (ECL) is now calculated over the behavioural life of a facility, which may differ from its contractual term.
- Loss Given Default (LGD) Models: The models were updated to make greater use of historical data. The methodology was enhanced to reduce expert judgement regarding collateral realizations and to explicitly account for the possibility of a defaulted loan returning to performing status (a "cure event"). Additionally, the methodology for the calculation of realized losses of open defaults was refined. These changes were applied to most credit segments, excluding loans to corporate clients with exposures over EUR 1 million.
- Credit Conversion Factor (CCF) Models: The models used to estimate potential draws on undrawn credit lines were refined. The updates provide more accurate estimates mainly for facilities with high credit limit usage and improve model segmentation.
- Real Estate Indexation Model: The model for valuing real estate collateral was improved by using statistical analysis to define regional price segments, replacing a previous expert-based approach for model development. This model is used to automatically update market value estimates of dwellings, apartments, residential land, and profit-yielding land.

These model enhancements, together with an increase in the classification threshold for rated customers from EUR 500,000 to EUR 1,000,000, resulted in a total decrease of the Group's ECL by EUR 6.4 million. This amount relates solely

to the implementation of new models and methodological changes and does not include other changes during the year.

Post-model expert credit adjustment

Model overlay may be applied to the modelled outcome to reflect the estimated impact of factors not fully captured by the model. As of 31 December 2025, no management overlay was applied.

7.3.2.1 Significant increase in credit risk

The Group uses both quantitative and qualitative indicators for assessing a significant increase in credit risk (SICR). The Group considers a financial instrument to have experienced a significant increase in credit risk (SICR) when one or more of the following criteria have been met:

- significant increase of lifetime PD since initial recognition (2.5 times and 100 bps jointly)
- more than 30 days past due on any material overdue amount to the Group (backstop)
- forborne performing (restructured) status (forbearance not triggering non-performing status)
- watch list status

The probability of default over the lifetime of a financial asset (cumulative lifetime PD) conditional on macroeconomic scenarios is calculated as weighted sum of point-in-time (PIT) forward-looking PDs generated for every future year until maturity of the financial instrument. For the indicator of more than 30 days past due, the same principles for counting days past due considering materiality thresholds are applied as for default identification. In case of payment holidays, the counting of days past due is based on the modified payment schedule.

The Group has used a low credit risk exemption for cash and nostro accounts fulfilling the liquidity portfolio criteria.

7.3.2.2 Definition of default and credit-impaired assets

The Group classifies a financial instrument as in default when either a customer is more than 90 days past due on any material obligation to the Group, the customer is assessed as unlikely to fulfil their credit obligations, or both conditions are met.

Days past due are counted at the customer level, starting when the overdue amount exceeds the materiality threshold. For private customers and SME portfolio, the threshold is more than EUR 100 and 1% of their total credit obligations to the Group. For corporate customers, the threshold is more than EUR 500 and 1% of total obligations. Default is recognised and managed at the customer level, meaning all exposures to that customer are considered in default once the criteria are met.

The Group has defined the indication of unlikeliness to pay criteria:

- the borrower is experiencing significant financial difficulties
- distressed restructuring of credit obligation (forbearance triggering a non-performing status)
- recognition of specific credit risk adjustments resulting from a significant decline in the credit quality of the exposure
- sale of credit obligations at a material credit-related economic loss
- bankruptcy of the customer or similar protection
- non-accrued status
- credit fraud

A return to non-defaulted status is only permitted after a minimum probation period of 3 months, during which none of the default criteria are met, and the customer must make all payments on time. In case of distressed restructuring, an obligation may be reclassified as non-defaulted only after at least 12 months have passed since the restructuring measures were granted and the customer has demonstrated the ability to comply with the new terms.

7.3.2.3 Expected Credit Loss

The ECL is calculated as a probability-weighted average of marginal losses expected under different macroeconomic scenarios. For each scenario, the expected loss is calculated as the multiple of PD, LGD, and EAD, and is discounted to present value using the effective interest rate. PD and EAD curves are estimated for every future year until the maturity date of the facility. The length of the ECL horizon depends on the Stage classification of the exposure.

Macroeconomic scenarios are developed by the internal macro analyst, based on external forecasts and observed developments, with a forward-looking horizon of three years. These scenarios are used to estimate PD curves. From the fourth year onward, it is assumed that PDs gradually converge toward their long-term historical averages.

Macroeconomic developments are monitored quarterly, and forecasts are updated as needed to ensure that new forward-looking information is incorporated into the ECL estimates in a timely manner. For the corporate portfolio, PD and LGD calibrations are performed at least annually by the Financial Risk Department in consultation with experts from credit management, business, and finance functions. For private customers and the SME portfolio, PD calibration is carried out quarterly to reflect changes in borrower behaviour and macroeconomic conditions.

The provisioning scenarios and significant updates to the scenarios are discussed in Risk Committee and approved by Chief Risk Officer on quarterly basis.

As of 31 December 2025, the probability weights for scenarios remained unchanged as compared to the end of 2024. The probability weights for the three scenarios are 15% for the upside scenario, 60% for the base scenario, and 25% for the downside scenario.

The parameters presented in the following tables are used for macroeconomic modelling framework applied to scoring customers segments and for forecasting the defaults within the corporate portfolio PD calibration. For private scoring customers the macroeconomic variables considered include unemployment rate, household consumption growth, average 6-month Euribor, lending margin and GDP growth. For SMEs, the model incorporates gross value-added growth rate by sector to better capture sector-specific sensitivities. The methodology and selection of parameters remain unchanged from the previous year.

Assumptions in companies ECL estimate, valid at 31 Dec 2025

	Base scenario			Downside scenario		Upside scenario	
General macro-financial indicators	**2025E**	**2026E**	**2027E**	**2026E**	**2027E**	**2026E**	**2027E**
Real GDP growth, %	0.6%	2.2%	2.5%	1.5%	2.0%	3.2%	3.5%
Household consumption, %	-0.1%	2.4%	2.5%	1.5%	1.4%	3.2%	3.3%
Unemployment rate, %	7.7%	7.1%	6.9%	7.6%	7.1%	7.0%	6.4%
Euribor 6m	2.2%	2.1%	2.3%	2.4%	2.6%	2.0%	2.2%
Bank lending margins on new loans (NFC)	2.6%	2.5%	2.5%	2.4%	2.4%	2.6%	2.6%

Nominal growth

	Base scenario			Downside scenario		Upside scenario	
Gross value added by sectors, YoY growth rates	**2025E**	**2026E**	**2027E**	**2026E**	**2027E**	**2026E**	**2027E**
Total - all NACE activities	**4.7%**	**5.3%**	**5.5%**	**4.4%**	**4.5%**	**5.8%**	**6.0%**
Agriculture, forestry, and fishing	3.4%	3.6%	3.3%	2.5%	2.3%	4.1%	3.8%
Industrial sector, except construction	5.5%	8.3%	9.6%	7.6%	7.3%	9.3%	10.6%
Industrial sector, except construction and manufacturing (mostly energy related)	1.8%	3.7%	4.9%	4.0%	3.3%	4.2%	5.4%
Manufacturing	3.6%	4.6%	4.7%	3.6%	4.0%	5.1%	5.2%
Construction	4.4%	3.5%	4.2%	2.1%	2.6%	4.0%	4.7%
Wholesale and retail trade, transport, accommodation, and food service activities	-0.9%	3.8%	4.3%	3.6%	4.1%	4.3%	4.8%
Information and communication	11.9%	14.3%	11.0%	12.9%	10.9%	14.8%	11.5%
Financial and insurance activities	-0.6%	1.8%	3.6%	-0.3%	0.4%	2.3%	4.1%
Real estate activities	9.5%	5.5%	5.5%	4.2%	4.6%	6.0%	6.0%
Professional, scientific, and technical activities; administrative and support service activities	7.5%	3.9%	4.2%	3.5%	3.8%	4.4%	4.7%
Public administration, defence, education, human health and social work activities	5.7%	5.6%	5.8%	4.2%	4.2%	6.1%	6.3%
Arts, entertainment, and recreation; other service activities; activities of household and extra-territorial organisations and bodies	5.1%	4.9%	5.8%	4.1%	4.9%	5.4%	6.3%

Assumptions in ECL estimate, valid at 31 Dec 2024

	Base scenario		Downside scenario		Upside scenario	
General macro-financial indicators	**2025E**	**2026E**	**2025E**	**2026E**	**2025E**	**2026E**
Real GDP growth, %	1.6%	2.9%	0.8%	2.3%	1.9%	3.0%
Household consumption, %	1.6%	2.6%	0.8%	2.1%	2.8%	2.7%
Unemployment rate, %	7.3%	6.9%	7.8%	7.7%	6.7%	5.9%
Euribor 6m	2.0%	1.9%	2.5%	2.2%	2.0%	1.7%
Bank lending margins on new loans (NFC)	2.1%	2.2%	2.0%	2.1%	2.2%	2.2%

Nominal growth

	Base scenario		Downside scenario		Upside scenario	
Gross value added by sectors, YoY growth rates	**2025E**	**2026E**	**2025E**	**2026E**	**2025E**	**2026E**
Total - all NACE activities	**5.1%**	**5.6%**	**3.4%**	**4.2%**	**5.3%**	**6.0%**
Agriculture, forestry, and fishing	5.7%	3.2%	2.1%	2.7%	5.1%	2.9%
Industrial sector, except construction	4.1%	4.5%	1.3%	2.4%	4.1%	4.5%
Industrial sector, except construction and manufacturing (mostly energy related)	3.5%	4.6%	1.2%	2.9%	3.2%	4.8%
Manufacturing	4.3%	4.5%	1.3%	2.3%	4.4%	4.5%
Construction	1.7%	3.5%	1.6%	2.3%	2.5%	4.7%
Wholesale and retail trade, transport, accommodation, and food service activities	4.7%	4.3%	1.8%	3.5%	4.9%	5.6%
Information and communication	9.4%	9.7%	9.1%	8.6%	10.2%	9.3%
Financial and insurance activities	10.3%	9.4%	7.8%	8.3%	10.6%	10.0%
Real estate activities	2.4%	4.1%	1.8%	2.9%	2.9%	5.1%
Professional, scientific, and technical activities; administrative and support service activities	3.3%	5.6%	2.5%	2.8%	3.5%	4.6%
Public administration, defence, education, human health and social work activities	5.8%	6.6%	5.1%	5.6%	6.1%	7.2%
Arts, entertainment, and recreation; other service activities; activities of household and extra-territorial organisations and bodies	4.2%	5.1%	3.9%	3.1%	4.9%	4.9%

7.3.2.4 Expected credit loss sensitivity analysis

The purpose of the sensitivity analysis is to demonstrate the potential impact of applying more severe assumptions to key macroeconomic model parameters. Several parameters with significant impact on the expected credit loss outcome have been tested to assess the model's responsiveness.

The impact of the change in probability weights assigned to the positive and negative macroeconomic scenarios on ECL allowance were tested. The baseline scenario weight is held constant, while two tests are conducted, where the weights of the positive and negative scenarios have been changed by +/- 5pp, respectively.

The table below presents the effect of these scenario weight shifts on the credit portfolio as of 31 December 2025 and 31 December 2024, respectively.

Impact on credit loss allowances

EUR thousand	2025	2024
60-10-30 (base/up/down)	1,095	1,118
60-20-20 (base/up/down)	-1,088	-1,123

The following table illustrates the impact of changing the PD thresholds for SICR on the ECL allowance as of 31 December 2025 and 31 December 2024. Increases in ECL (positive amounts) represent higher impairment allowances that would be recognised. As evidenced by the tables, changing SICR by +/- 10% has limited impact on the overall ECL of the Group.

Impact on credit loss allowances

EUR thousand	2025	2024
+10% change in SICR	-119	-47
-10% change in SICR	166	77

The Group has also performed scenarios for PD and LGD estimates with the most significant impact on the loss allowances. The impact of these tests on impairment is aggregated in the table below. The table includes loans, which are assessed for impairment collectively and which have material balances and potential impact.

Impact on credit loss allowances

EUR thousand	2025	2024
LGD negative –0.5 pp	462	1,852
LGD negative +0.5 pp	-498	-884
Average PiT PD –0.5 pp	-3,378	-3,366
Average PiT PD +0.5 pp	3,328	3,227

7.3.2.5 Write-off policy

The Group writes off financial assets, in whole or in part, when all reasonable recovery efforts have been performed and there is no longer a realistic expectation of repayment. This conclusion is typically reached when enforcement actions have ceased or when recoveries are limited to collateral whose value is insufficient to cover the outstanding exposure.

If it is not feasible or economically reasonable for the Group to take measures to recover the claims that are being discounted, the claim is assessed as non-performing and is removed from the statement of financial position. If an irrecoverable claim is received subsequently, receipts are recognised as income.

7.3.2.6 Modifications of financial assets

The Group may renegotiate and modify the contractual terms of loans. If the modified terms are substantially different from the original terms, the original financial asset is derecognised and a new asset is recognised. In such cases, the Group also assesses whether the new asset is credit-impaired at initial recognition. If the changes are not substantial, the asset is not derecognised. Such restructuring activities include extended payment term arrangements, payment holidays and payment forgiveness. Restructuring policies and practices are based on indicators or criteria which, in the judgement of management, indicate that payment will most likely continue. These policies are kept under continuous review.

When a financial instrument is modified due to the obligor's financial difficulties, a new credit assessment is performed. This includes obtaining an updated rating or score, assigning a new probability of default (PD), and marking the exposure as forborne (restructured) if it meets the regulatory definition. As a result, the asset is generally moved to Stage 2 if it is classified as forborne performing, or to Stage 3 if deemed forborne non-performing. A significant increase in PD may also lead to Stage 2 classification. In cases of substantial modification that result in derecognition, the newly recognised asset is classified as Stage 1 if not credit-impaired, or as a POCI asset (purchased or originated credit-impaired) if credit-impaired at initial recognition.

The Group monitors the subsequent performance of modified assets. The Group may determine that credit risk has significantly improved after restructuring, so that the assets are moved from Stage 3 or Stage 2 (lifetime ECL) to Stage 1 (12-month ECL). In case of distressed restructuring, an obligation may be reclassified as non-defaulted only after at least 12 months have passed since the restructuring measures were granted and the customer has demonstrated the ability to comply with the new terms.

7.3.3 Credit risk exposure

The following tables contain an analysis of the credit risk exposure of financial instruments. The gross carrying amount of financial assets below also represents the Group's maximum exposure to credit risk on these assets. Information on how the ECL is measured and how the three stages are determined is included in subsection 7.3.2 'Credit Impairment Framework'.

7.3.3.1 Risk concentration

Maximum exposure to credit risk

EUR thousand	Note	31 Dec 25	31 Dec 24
Cash and balances with central bank, due from banks and investment companies and credit institutions	9	4,312,403	3,818,305
Financial assets at fair value through profit or loss	10	24,927	26,272
Investments in debt securities at amortised cost	11	378,064	283,533
Loans and advances to customers	12	5,465,391	4,552,093
Corporate lending		*3,351,378*	*2,752,869*
Consumer lending		*109,180*	*100,002*
Investment financing		*10,629*	*9,915*
Leasing		*173,672*	*178,527*
Private lending		*1,820,532*	*1,510,780*
Receivables from customers and other receivables	14	12,335	4,736
Insurance contract assets	27	53	89
Reinsurance contract assets		476	2,044
Other financial assets	15	272	281
Total financial assets		**10,193,921**	**8,687,353**
Non-cancellable agreements	22	1,024,434	723,954
Total		**11,218,355**	**9,411,307**

7.3.3.2 Distribution of loans granted by industry

Loans by economic sectors and stages

	as at 31 Dec 2025						as at 31 Dec 2024					
EUR thousand	Stage 1	Stage 2	Stage 3	Allowance for credit losses	Total	%	Stage 1	Stage 2	Stage 3	Allowance for credit losses	Total	%
Individuals	1,839,715	127,018	9,168	-5,632	1,970,269	36.1%	1,459,694	190,727	7,146	-7,235	1,650,332	36.3%
Agriculture	152,088	9,250	0	-473	160,865	2.9%	42,577	14,996	31	-185	57,419	1.3%
Mining and quarrying	11,307	0	0	-7	11,300	0.2%	105	1,022	36	-28	1,135	0.0%
Manufacturing	181,597	12,832	47,825	-17,008	225,246	4.1%	131,634	49,937	18,336	-13,277	186,630	4.1%
Energy	200,586	3,483	0	-895	203,174	3.7%	215,497	2,391	0	-1,248	216,640	4.8%
Water and utilities	45,624	328	0	-484	45,468	0.8%	27,882	314	0	-307	27,889	0.6%
Construction	77,615	4,483	260	-292	82,066	1.5%	100,869	4,191	47	-702	104,405	2.3%
Wholesale and retail	98,033	54,271	1,661	-1,300	152,665	2.8%	157,574	12,691	616	-1,418	169,463	3.7%
Transport and logistics	107,260	4,375	59	-1,079	110,615	2.0%	68,223	1,890	8	-625	69,496	1.5%
Hotels and restaurants	113,391	5,629	3,707	-746	121,981	2.2%	54,735	2,463	2,708	-311	59,595	1.3%
Information and communication	24,711	2,000	92	-116	26,687	0.5%	22,808	3,773	102	-177	26,506	0.6%
Financial services	143,994	801	0	-697	144,098	2.6%	154,091	1,525	0	-782	154,834	3.4%
Real estate	1,641,369	166,064	25,607	-9,599	1,823,441	33.5%	1,222,569	129,051	8,197	-8,986	1,350,831	29.7%
Professional, scientific, and technical activities	51,652	8,255	514	-341	60,080	1.1%	137,097	9,309	331	-334	146,403	3.2%
Administrative activities	82,446	4,642	169	-393	86,864	1.6%	96,100	18,651	73	-647	114,177	2.5%
Public management	33,203	3,610	0	-65	36,748	0.7%	46,572	4,086	0	-98	50,560	1.1%
Education	2,730	3,134	40	-607	5,297	0.1%	5,156	3,356	0	-1,029	7,483	0.2%
Health	73,458	10,936	95	-302	84,187	1.5%	68,976	819	0	-200	69,595	1.5%
Art and entertainment	60,068	31,171	2	-1,598	89,643	1.6%	40,160	31,525	0	-2,182	69,503	1.5%
Other servicing activities	18,256	6,439	70	-68	24,697	0.5%	18,614	611	14	-42	19,197	0.4%
Total	**4,959,103**	**458,721**	**89,269**	**-41,702**			**4,070,933**	**483,328**	**37,645**	**-39,813**		
Allowance for credit losses	-11,307	-7,240	-23,155				-11,191	-14,364	-14,258			
Total loan portfolio	**4,947,796**	**451,481**	**66,114**		**5,465,391**	**100%**	**4,059,742**	**468,964**	**23,387**		**4,552,093**	**100%**

7.3.3.3 Loan portfolio by internal ratings and stages

Credit quality of loan portfolio by internal credit ratings and stages

	as at 31 Dec 2025				as at 31 Dec 2024			
EUR thousand	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Rating customers								
1 low credit risk	0	0	0	0	0	0	0	0
2 low credit risk	0	0	0	0	0	0	0	0
3 low credit risk	0	0	0	0	0	0	0	0
4 low credit risk	15,095	998	0	16,093	18,211	0	0	18,211
5 low credit risk	169,010	2,171	0	171,182	221,741	670	0	222,411
6 low credit risk	700,445	5,175	0	705,620	553,165	14,624	0	567,789
7 medium credit risk	845,308	18,873	0	864,181	567,376	21,832	0	589,208
8 medium credit risk	817,481	63,090	0	880,571	700,339	59,039	0	759,377
9 heightened credit risk	291,390	47,107	0	338,497	339,364	42,801	0	382,165
10 high credit risk	35,504	62,374	0	97,878	4,726	34,926	0	39,652
11 high credit risk	10,470	3,585	0	14,054	17,935	25,854	0	43,788
12 payments are delayed	0	24,060	0	24,060	0	50,198	0	50,198
13 insolvent	0	0	58,683	58,683	0	0	19,122	19,122
Scoring customers								
1 low credit risk	160,068	3,941	0	164,009	0	0	0	0
2 low credit risk	452,997	5,511	0	458,508	185,780	3,951	0	189,731
3 low credit risk	428,293	3,990	0	432,283	339,093	6,140	0	345,233
4 low credit risk	410,528	13,649	0	424,176	359,508	13,362	0	372,870
5 low credit risk	319,303	40,471	0	359,774	373,928	33,408	0	407,337
6 low credit risk	155,290	44,714	0	200,004	215,744	44,185	0	259,929
7 medium credit risk	80,339	37,075	0	117,414	101,579	36,045	0	137,624
8 medium credit risk	38,251	28,690	0	66,941	40,991	29,153	0	70,144
9 heightened credit risk	15,464	22,601	0	38,064	16,807	21,914	0	38,722
10 high credit risk	2,557	12,260	0	14,817	3,243	16,778	0	20,021
11 high credit risk	2	7,737	0	7,739	173	11,001	0	11,174
12 payments are delayed	0	3,409	0	3,409	39	3,081	0	3,120
13 insolvent	0	0	7,433	7,433	0	0	4,266	4,266
Total	**4,947,794**	**451,481**	**66,116**	**5,465,391**	**4,059,743**	**468,963**	**23,387**	**4,552,093**

Unused portions of loan portfolio and financial guarantee limits are presented in the following table.

Credit quality of commitments accounted for off the statement of financial position (unused loan commitments)

	as at 31 Dec 2025				as at 31 Dec 2024			
EUR thousand	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Rating customers								
1 low credit risk	0	0	0	0	0	0	0	0
2 low credit risk	0	0	0	0	0	0	0	0
3 low credit risk	0	0	0	0	0	0	0	0
4 low credit risk	136,387	0	0	136,387	0	0	0	0
5 low credit risk	6,674	0	0	6,674	8,298	0	0	8,298
6 low credit risk	40,199	0	0	40,199	63,268	1,234	0	64,502
7 medium credit risk	59,387	0	0	59,387	54,313	291	0	54,604
8 medium credit risk	167,031	2,006	0	169,037	201,994	2,247	0	204,241
9 heightened credit risk	147,294	923	0	148,216	66,297	874	0	67,171
10 high credit risk	4	6,221	0	6,225	15,003	699	0	15,702
11 high credit risk	0	0	0	0	1	0	0	1
12 payments are delayed	0	598	0	598	0	9,850	0	9,850
13 insolvent	0	0	592	592	0	0	878	878
Scoring customers								
1 low credit risk	13,876	834	0	14,710	0	0	0	0
2 low credit risk	19,757	1,200	0	20,957	12,466	860	0	13,326
3 low credit risk	15,534	1,735	0	17,269	13,268	916	0	14,183
4 low credit risk	48,543	1,443	0	49,986	17,760	1,553	0	19,313
5 low credit risk	37,315	2,686	0	40,001	8,926	1,042	0	9,968
6 low credit risk	7,999	1,702	0	9,700	11,613	1,377	0	12,991
7 medium credit risk	6,650	254	0	6,904	7,258	630	0	7,888
8 medium credit risk	1,350	455	0	1,805	1,999	637	0	2,635
9 heightened credit risk	711	182	0	893	1,151	204	0	1,355
10 high credit risk	91	179	0	270	10	38	0	48
11 high credit risk	0	15	0	15	4	22	0	26
12 payments are delayed	0	239	0	239	1	9	0	10
13 insolvent	0	0	14	14	0	0	14	14
Total	**708,800**	**20,672**	**606**	**730,077**	**483,629**	**22,483**	**892**	**507,003**

Credit quality of commitments accounted for off the statement of financial position (financial guarantees)

	as at 31 Dec 2025				as at 31 Dec 2024			
EUR thousand	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Rating customers								
1 low credit risk	0	0	0	0	0	0	0	0
2 low credit risk	0	0	0	0	0	0	0	0
3 low credit risk	0	0	0	0	0	0	0	0
4 low credit risk	323	0	0	323	323	0	0	323
5 low credit risk	7,221	0	0	7,221	8,835	0	0	8,835
6 low credit risk	41,309	0	0	41,309	8,023	0	0	8,023
7 medium credit risk	18,704	0	0	18,704	30,367	0	0	30,367
8 medium credit risk	74,675	0	0	74,675	9,923	301	0	10,225
9 heightened credit risk	8,355	262	0	8,617	44,351	3,424	0	47,775
10 high credit risk	0	2,862	0	2,862	267	0	0	267
11 high credit risk	0	604	0	604	0	364	0	364
12 payments are delayed	0	0	0	0	0	112	0	112
13 insolvent	0	0	736	736	0	0	1,068	1,068
Scoring customers								
1 low credit risk	0	0	0	0	0	0	0	0
2 low credit risk	0	0	0	0	0	0	0	0
3 low credit risk	604	0	0	604	243	0	0	243
4 low credit risk	2,996	0	0	2,996	1,495	174	0	1,670
5 low credit risk	1,430	257	0	1,687	1,155	0	0	1,155
6 low credit risk	709	392	0	1,101	497	33	0	529
7 medium credit risk	398	128	0	526	337	0	0	337
8 medium credit risk	2	70	0	72	1	263	0	264
9 heightened credit risk	6	0	0	6	0	18	0	18
10 high credit risk	0	0	0	0	0	1	0	1
11 high credit risk	0	0	0	0	0	0	0	0
12 payments are delayed	0	9	0	9	0	0	0	0
13 insolvent	0	0	0	0	0	0	0	0
Total	**156,731**	**4,583**	**736**	**162,050**	**105,818**	**4,689**	**1,068**	**111,574**

7.3.4 Quality of credit portfolio

7.3.4.1 Distribution of loans by loan types and stages

The following tables explain the changes in the credit loss allowances as well as changes in stages by loan types between the beginning and the end of the reporting period due to factors described in subsection 7.3.2 of this section.

Loans by loan types and stages

EUR thousand	Stage 1	Stage 2	Stage 3	Allowance for credit losses	Total
Corporate lending	2,997,582	311,090	77,574	-34,868	3,351,378
Consumer financing	88,557	20,643	3,507	-3,527	109,180
Investment financing	10,028	687	0	-86	10,629
Leasing	150,791	21,435	2,580	-1,134	173,672
Private lending	1,712,145	104,866	5,608	-2,087	1,820,532
Total as at 31 Dec 2025	**4,959,103**	**458,721**	**89,269**	**-41,702**	**5,465,391**
Corporate lending	2,483,840	272,172	27,861	-31,004	2,752,869
Consumer financing	66,906	34,193	3,814	-4,911	100,002
Investment financing	9,856	58	6	-5	9,915
Leasing	155,903	21,540	2,673	-1,589	178,527
Private lending	1,354,427	155,365	3,292	-2,304	1,510,780
Total as at 31 Dec 2024	**4,070,932**	**483,328**	**37,646**	**-39,813**	**4,552,093**

7.3.4.2 Transfers between stages

Movements in credits to customers and credit loss allowances

EUR thousand

Stage	1	2	3	2025 Total	1	2	3	2024 Total
Gross carrying amount								
Opening balance	**4,070,933**	**483,327**	**37,645**	**4,591,906**	**3,343,383**	**291,335**	**23,531**	**3,658,250**
Transfers to Stage 1	148,690	-148,690	0	0	64,335	-64,335	0	0
Transfers to Stage 2	-172,290	173,548	-1,258	0	-289,603	290,820	-1,217	0
Transfers to Stage 3	-22,689	-47,413	70,102	0	-4,006	-17,910	21,916	0
Originated	1,610,242	0	0	1,610,242	1,473,404	0	0	1,473,404
Derecognised and repaid	-675,786	-2,051	-12,832	-690,670	-516,580	-16,582	-3,599	-536,762
Movement	**888,168**	**-24,607**	**56,011**	**919,573**	**727,550**	**191,992**	**17,100**	**936,642**
Write-offs	0	0	-4,387	-4,387	0	0	-2,986	-2,986
Closing balance	**4,959,101**	**458,721**	**89,270**	**5,507,092**	**4,070,933**	**483,327**	**37,645**	**4,591,906**
Credit loss allowances								
Opening balance	**-11,191**	**-14,365**	**-14,258**	**-39,813**	**-12,470**	**-9,766**	**-8,053**	**-30,288**
Transfers to Stage 1	-211	1,875	0	1,663	-207	1,372	0	1,165
Transfers to Stage 2	536	-1,840	481	-823	1,699	-8,083	377	-6,008
Transfers to Stage 3	123	4,647	-16,221	-11,450	30	1,153	-5,714	-4,531
Originated	-5,650	0	0	-5,650	-5,381	0	0	-5,381
Derecognised and repaid	4,222	318	2,730	7,269	3,488	184	-56	3,615
Changes to ECL assumption	863	2,126	1,147	4,136	1,651	775	-2,844	-418
Movement	**-117**	**7,125**	**-11,863**	**-4,854**	**1,279**	**-4,599**	**-8,237**	**-12,722**
Write-offs	0	0	2,966	2,966	0	0	2,032	2,032
Closing balance	**-11,307**	**-7,240**	**-23,155**	**-41,702**	**-11,191**	**-14,365**	**-14,258**	**-39,813**

7.3.4.3 Loans against collateral

In the tables below, collateral information of loans and advances is disclosed based on the collateral type and carrying amount or fair value (if lower) of the collateral held. The under-collateralised amount of secured loans is presented as unsecured loans.

Loans against collateral as at 31 Dec 2025 (net)

EUR thousand	Corporate lending	Consumer financing	Investment financing	Leasing	Private lending	Total
Listed securities	0	0	10,244	0	0	**10,244**
Unlisted equity securities	19,995	0	0	0	0	**19,995**
Mortgages, real estate	2,378,344	0	0	0	1,760,259	**4,138,603**
Guarantee of Estonian Business and Innovation Agency and Rural Development Foundation	87,960	0	0	0	11,165	**99,125**
Pledges of rights of claim	125,235	0	0	0	0	**125,235**
Deposits	1,526	0	380	0	1,100	**3,006**
Leased assets	0	0	0	132,909	0	**132,909**
Others	5,111	0	0	0	0	**5,111**
Unsecured loans or unsecured part of secured loans	733,207	109,180	5	40,763	48,008	**931,163**
Total	**3,351,378**	**109,180**	**10,629**	**173,672**	**1,820,532**	**5,465,391**

Loans against collateral as at 31 Dec 2024 (net)

EUR thousand	Corporate lending	Consumer financing	Investment financing	Leasing	Private lending	Total
Listed securities	0	0	8,787	0	0	**8,787**
Unlisted equity securities	20,619	0	0	0	4,928	**25,547**
Mortgages, real estate	1,451,284	0	0	0	1,452,518	**2,903,802**
Guarantee of Estonian Business and Innovation Agency and Rural Development Foundation	50,132	0	0	0	6,708	**56,840**
Pledges of rights of claim	136,742	0	0	0	0	**136,742**
Deposits	1,491	0	553	0	1,340	**3,384**
Leased assets	0	0	0	137,360	0	**137,360**
Others	32,655	0	0	0	10494	**43,149**
Unsecured loans or unsecured part of secured loans	1,059,946	100,002	575	41,167	34,792	**1,236,482**
Total	**2,752,869**	**100,002**	**9,915**	**178,527**	**1,510,780**	**4,552,093**

Over and under-collateralised loans by stages as at 31 Dec 2025 (net)

	Over-collateralised loans		Under-collateralised loans		Total	
EUR thousand	Carrying value	Fair value of collateral	Carrying value	Fair value of collateral	Carrying value	Fair value of collateral
Stage 1	**2,503,105**	**4,268,867**	**2,444,688**	**1,622,172**	**4,947,793**	**5,891,039**
Corporate lending	1,236,579	2,258,425	1,750,546	1,092,317	2,987,125	3,350,742
Consumer financing	0	0	88,211	0	88,211	0
Investment financing	8,053	31,584	1,950	1,947	10,003	33,531
Leasing	19,603	31,083	130,893	94,590	150,496	125,673
Private lending	1,238,870	1,947,775	473,088	433,318	1,711,958	2,381,093
Stage 2	**202,182**	**364,867**	**249,301**	**148,348**	**451,483**	**513,215**
Corporate lending	114,504	166,262	191,422	121,894	305,926	288,156
Consumer financing	0	0	19,509	0	19,509	0
Investment financing	229	319	397	395	626	714
Leasing	3,584	5,287	17,615	13,392	21,199	18,679
Private lending	83,865	192,999	20,358	12,667	104,223	205,666
Stage 3	**16,195**	**29,360**	**49,920**	**42,783**	**66,115**	**72,143**
Corporate lending	12,338	17,657	45,989	40,538	58,327	58,195
Consumer financing	0	0	1,460	0	1,460	0
Investment financing	0	0	0	0	0	0
Leasing	100	170	1,877	1,673	1,977	1,843
Private lending	3,757	11,533	594	572	4,351	12,105
Total	**2,721,482**	**4,663,094**	**2,743,909**	**1,813,303**	**5,465,391**	**6,476,397**
Corporate lending	1,363,421	2,442,344	1,987,957	1,254,749	3,351,378	3,697,093
Consumer financing	0	0	109,180	0	109,180	0
Investment financing	8,282	31,903	2,347	2,342	10,629	34,245
Leasing	23,287	36,540	150,385	109,655	173,672	146,195
Private lending	1,326,492	2,152,307	494,040	446,557	1,820,532	2,598,864

Over and under-collateralised loans by stages as at 31 Dec 2024 (net)

	Over-collateralised loans		Under-collateralised loans		Total	
EUR thousand	Carrying value	Fair value of collateral	Carrying value	Fair value of collateral	Carrying value	Fair value of collateral
Stage 1	**1,699,915**	**2,575,502**	**2,359,826**	**1,208,946**	**4,059,741**	**3,784,448**
Corporate lending	684,575	963,334	1,789,264	772,698	2,473,839	1,736,032
Consumer financing	0	0	66,480	0	66,480	0
Investment financing	6,622	29,382	3,230	2,668	9,852	32,050
Leasing	20,261	29,787	135,180	97,755	155,441	127,542
Private lending	988,457	1,552,999	365,672	335,825	1,354,129	1,888,824
Stage 2	**249,333**	**457,386**	**219,631**	**138,160**	**468,964**	**595,546**
Corporate lending	108,950	137,211	152,322	111,696	261,272	248,907
Consumer financing	0	0	32,217	0	32,217	0
Investment financing	0	2	58	46	58	48
Leasing	3,948	6,028	17,152	13,297	21,100	19,325
Private lending	136,435	314,145	17,882	13,121	154,317	327,266
Stage 3	**18,044**	**29,063**	**5,343**	**1,111**	**23,387**	**30,174**
Corporate lending	14,892	20,296	2,865	112	17,757	20,408
Consumer financing	0	0	1,305	0	1,305	0
Investment financing	5	6	0	0	5	6
Leasing	826	1,105	1,160	999	1,986	2,104
Private lending	2,321	7,656	13	0	2,334	7,656
Total	**1,967,292**	**3,061,951**	**2,584,800**	**1,348,217**	**4,552,092**	**4,410,168**
Corporate lending	808,417	1,120,841	1,944,451	884,506	2,752,868	2,005,347
Consumer financing	0	0	100,002	0	100,002	0
Investment financing	6,627	29,390	3,288	2,714	9,915	32,104
Leasing	25,035	36,920	153,492	112,051	178,527	148,971
Private lending	1,127,213	1,874,800	383,567	348,946	1,510,780	2,223,746

7.4 Liquidity and Funding Risk

7.4.1 Liquidity Risk Management

Liquidity and funding risk is the risk that the Group is unable to meet its financial obligations as they fall due, or to fund its activities on a sustainable basis, without incurring unacceptable losses. The risk arises primarily from mismatches between the maturities of assets and liabilities, unexpected deposit outflows, or reduced access to funding markets.

The Group manages liquidity and funding risk conservatively, with customer deposits as the primary source of funding, supplemented by covered bonds and other secured market-based funding where appropriate. Balance sheet growth is aligned with the availability of stable funding, and the Group maintains a liquidity buffer to ensure resilience under both normal and stressed conditions.

The following tables present the distribution of financial assets and liabilities, excl. derivatives, by due dates and by future contractual undiscounted cash flows. The carrying amounts are disclosed in a separate column. In the maturity analysis, the cash flows are split into the maturity buckets in which the cash flows occur (including interest cash flows). The maturity gap between assets and liabilities within a one-year horizon reflects LHV's core business model of funding long-term loan assets with predominantly short-term customer deposits. This structural mismatch is inherent to the banking model and is therefore accepted as part of normal operations. The associated liquidity risk is continuously monitored and managed through survival period analysis and the ILAAP framework.

Financial assets and liabilities by maturities 31 Dec 2025

EUR thousand	Note	On demand	Up to 3 months	3-12 months	1-5 years	Over 5 years	Total	Carrying amount
Liabilities by contractual maturity dates								
Deposits from customers	17	5,307,001	1,214,882	1,609,169	28,414	63	**8,159,529**	**8,134,438**
Loans received and debt securities in issue	19	0	318	149,968	967,225	0	**1,117,511**	**1,043,617**
Subordinated debt	19	0	1,744	14,381	251,356	0	**267,481**	**206,928**
Lease liabilities		0	917	2,161	2,712	670	**6,460**	**6,460**
Accounts payable and other financial liabilities	18	0	41,566	0	0	0	**41,566**	**41,566**
Insurance contract liabilities	27	0	15,335	0	0	0	**15,335**	**15,335**
Reinsurance contract liabilities		0	0	0	0	0	**0**	**0**
Unused loan commitments	22	730,077	0	0	0	0	**730,077**	**0**
Financial liabilities at fair value	10	0	1,275	0	0	0	**1,275**	**1,275**
Financial guarantees by contractual amounts	22	162,050	0	0	0	0	**162,050**	**0**
Foreign exchange derivatives (gross settled)		0	257,137	0	0	0	**257,137**	**0**
Foreign exchange derivatives (gross settled)		0	-257,137	0	0	0	**-257,137**	**0**
Total liabilities		**6,199,128**	**1,276,037**	**1,775,679**	**1,249,707**	**733**	**10,501,284**	**9,449,619**
Assets held for managing liquidity risk by contractual maturity dates								
Cash and cash equivalents, due from central banks and investment companies	9	4,311,888	0	515	0	0	**4,312,403**	**4,312,403**
Investments in debt and equity securities	10,11	0	1,995	182,242	88,569	122,476	**395,282**	**395,187**
Loans and advances to customers	12	0	266,300	779,556	3,844,838	2,254,051	**7,144,745**	**5,465,391**
Receivables from customers	14	0	12,335	0	0	0	**12,335**	**12,335**
Insurance contract assets	27	0	53	0	0	0	**53**	**53**
Reinsurance contract assets		0	476	0	0	0	**476**	**476**
Other financial assets	15	0	0	0	0	272	**272**	**272**
Total assets held for managing liquidity risk		**4,311,888**	**281,159**	**962,313**	**3,933,407**	**2,376,799**	**11,865,566**	**10,186,117**
Maturity gap from assets and liabilities		**-1,887,240**	**-994,878**	**-813,366**	**2,683,700**	**2,376,066**	**1,364,282**	

Financial assets and liabilities by maturities 31 Dec 2024

EUR thousand	Note	On demand	Up to 3 months	3-12 months	1-5 years	Over 5 years	Total	Carrying amount
Liabilities by contractual maturity dates								
Deposits from customers	17	4,432,899	1,022,778	1,476,702	8,211	419	**6,941,009**	**6,910,110**
Loans received and debt securities in issue	19	0	318	283,578	723,535	0	**1,007,431**	**927,686**
Subordinated debt	19	0	2,625	56,638	94,106	0	**153,369**	**126,256**
Lease liabilities		0	897	2,734	6,488	0	**10,119**	**10,119**
Accounts payable and other financial liabilities	18	0	44,674	0	0	0	**44,674**	**44,674**
Insurance contract liabilities	27	0	15,258	0	0	0	**15,258**	**15,258**
Reinsurance contract liabilities		0	1,499	0	0	0	**1,499**	**1,499**
Unused loan commitments	22	507,903	0	0	0	0	**507,903**	**0**
Financial liabilities at fair value	10	0	24	0	0	0	**24**	**24**
Financial guarantees by contractual amounts	22	111,574	0	0	0	0	**111,574**	**0**
Foreign exchange derivatives (gross settled)		0	157,710	0	0	0	**157,710**	**0**
Foreign exchange derivatives (gross settled)		0	-157,710	0	0	0	**-157,710**	**0**
Total liabilities		**5,052,376**	**1,088,073**	**1,819,652**	**832,340**	**419**	**8,792,860**	**8,035,626**
Assets held for managing liquidity risk by contractual maturity dates								
Cash and cash equivalents, due from central banks and investment companies	9	3,817,305	0	1,000	0	0	**3,818,305**	**3,818,305**
Investments in debt and equity securities	10,11	0	6,465	164,985	86,597	41,227	**299,274**	**299,204**
Loans and advances to customers	12	0	251,006	732,376	3,218,878	2,036,792	**6,239,052**	**4,552,093**
Receivables from customers	14	0	4,736	0	0	0	**4,736**	**4,736**
Insurance contract assets	27	0	89	0	0	0	**89**	**89**
Reinsurance contract assets		0	2,044	0	0	0	**2,044**	**2,044**
Other financial assets	15	0	0	0	0	281	**281**	**281**
Total assets held for managing liquidity risk		**3,817,305**	**264,340**	**898,361**	**3,305,475**	**2,078,300**	**10,363,781**	**8,676,752**
Maturity gap from assets and liabilities		**-1,235,071**	**-823,733**	**-921,291**	**2,473,135**	**2,077,881**	**1,570,921**	

7.4.2 Liquidity risk appetite metrics

Liquidity and funding risk is governed through the Risk Appetite Framework and managed at both Group and entity level. The key liquidity and funding risk metrics approved within the Group's Risk Appetite Framework are:

- Liquidity Coverage Ratio (LCR);
- Net Stable Funding Ratio (NSFR);
- Asset encumbrance ratio; and
- Survival period.

These metrics are used to monitor the Group's short- and long-term liquidity position and to ensure that the funding structure remains aligned with the Group's risk appetite and business model.

Liquidity risk management includes regular cash flow forecasting, monitoring of funding concentration and maturity profiles, and management of a high-quality liquid asset buffer that can be monetised in stress scenarios. Liquidity risk is assessed separately for material currencies.

The Group applies liquidity stress testing covering both idiosyncratic and market-wide scenarios. Stress test results are incorporated into the internal liquidity adequacy assessment process and inform liquidity buffer calibration and contingency planning. A liquidity contingency plan defines escalation procedures and management actions in the event of emerging liquidity stress.

The following table presents the values of the LCR, NSFR (regulatory threshold is 100%) and the survival period measured by contractual maturity ladder. LCR and NSFR exceeded regulatory requirements with a healthy buffer characterising the Group's conservative approach to managing liquidity risk.

Ratio	2025	2024
LCR	185.00%	187.50%
NSFR	156.80%	154.40%
Survival period by maturity ladder (days)	191	272

The level of the LCR ratio declined marginally over the reporting year. The ratio was adversely impacted by the rising volume of demand deposits from financial intermediaries, as well as the increased issuance of loans. In contrast, the growth in stable retail deposits provided a positive contribution to the LCR. The NSFR ratio increased marginally over the year because the Group's stable funding exceeded the loan origination. Stable funding increased primarily due to retail deposit acquisition and market-based funding issuances. The level of the ratio exceeds the regulatory and internal requirements with a wide headroom.

7.5 Market risk

Market risk is the risk of losses arising from adverse movements in market variables, including interest rates, foreign exchange rates and asset prices. Market risk can affect the Group's profitability, capital position and, where relevant, liquidity.

The Group's material market risks comprise interest rate risk in the banking book (IRRBB), credit spread risk in the banking book (CSRBB), and price and foreign exchange risk. IRRBB arises primarily from mismatches in the repricing profiles of assets and liabilities. Credit spread risk reflects changes in market credit spreads affecting the value of debt instruments, while price and foreign exchange risk arise mainly from securities portfolios held for liquidity management or investment purposes and from strategic foreign currency exposures.

Market risk is governed through the Risk Appetite Framework and managed at both Group and entity level. The key market risk metrics approved within the Group's Risk Appetite Framework are:

- change in economic value of equity (ΔEVE) under interest rate stress;
- change in net interest income (ΔNII) under interest rate stress; and
- price and foreign exchange risk measured as stressed loss relative to CET1 capital.

These metrics are used to monitor the Group's sensitivity to adverse market movements and to ensure that market risk remains aligned with the Group's risk appetite and capital position.

Market risk management focuses on balance sheet structuring, product design and pricing, and the application of exposure limits. Structural interest rate risk arising from the Group's core banking activities is accepted within appetite. Foreign exchange risk related to strategic investments is tolerated, whereas other foreign exchange and price risks are tightly managed.

Market risk exposures are monitored regularly, including through stress testing.

7.5.1 Foreign currency risk

Foreign currency risk arises from mismatch between the Group's foreign currency assets and liabilities. Most items in the Group's statement of financial position are denominated in euros. A mismatch could result from LHV Pank's customers transactions in foreign currencies, fund units held by LHV Varahaldus for own-managed pension funds as required by legislation, and LHV Bank's operations in British pounds.

The Group's appetite for foreign currency risk is low, open positions exceeding set monitoring limits must be closed or reduced.

Foreign currency risk is measured by estimating the potential loss to the Group from its net open foreign currency position in a stress scenario. The loss from foreign currency risk should not exceed a prescribed level of the Group's CET1 capital.

A sensitivity analysis has been performed to show the effect of movements in foreign exchange rates on the statement of profit or loss, with the assumption of other conditions remaining constant. The sensitivity has been measured against a potential exchange rate movement of +/- 6% which is in line with the stress scenario used by the Group for measuring foreign currency risk of its net open positions. The Group's foreign currency risk exposure is very low.

Impact on statement of profit or loss

EUR thousand	2025	2024
USD exchange rate	+/-12	+/-19
SEK exchange rate	+/-10	+/-5
GBP exchange rate	+/-6,992	+/-4,412

Open currency exposures

The following tables present the risks arising from open currency exposures. Assets and liabilities denominated in foreign currencies have been presented in euro equivalent in respective columns, according to the exchange rate prevailing at the end of the reporting period. Derivatives reported at fair value in the statement of financial position have been included at contractual amounts under assets and liabilities accounted for off the statement of financial position. Open currency exposure and the volume of financial assets and liabilities of the Group at the end of the reporting period do not significantly differ from the average exposure during the year. Foreign exchange forwards are shown in the table at their full contractual cash flow amounts as assets and liabilities accounted for off the statement of financial position. The table does not include the assets (property, plant and equipment and intangible assets) and liabilities (provisions) not bearing currency risk, or equity.

Currency risk exposures as at 31 Dec 2025

EUR thousand	Note	EUR	CHF	GBP	SEK	USD	Other	Total
Financial assets bearing currency risk								
Cash and cash equivalents, due from central banks and investment companies	9	3,660,447	6,212	628,219	3,645	6,522	7,358	**4,312,403**
Investments in debt and equity securities	10, 11	402,952	1	1	1	36	1	**402,991**
Loans and advances to customers	12	4,673,835	4	782,514	248	8,457	333	**5,465,391**
Receivables from customers	14	5,599	108	4,280	472	1,355	521	**12,335**
Insurance contract assets	27	53	0	0	0	0	0	**53**
Reinsurance assets		476	0	0	0	0	0	**476**
Other financial assets	15	100	0	172	0	0	0	**272**
Total financial assets bearing currency risk		**8,743,462**	**6,325**	**1,415,186**	**4,366**	**16,370**	**8,213**	**10,193,921**
Financial liabilities bearing currency risk								
Deposits from customers	17	6,652,828	6,304	1,300,403	8,328	153,591	12,984	**8,134,438**
Loans received and debt securities in issue	19	1,043,617	0	0	0	0	0	**1,043,617**
Financial liabilities at fair value	10	1,275	0	0	0	0	0	**1,275**
Accounts payable and other financial liabilities	18	26,546	32	9,104	5,110	5,230	2,004	**48,026**
Insurance contract liabilities	27	15,335	0	0	0	0	0	**15,335**
Subordinated debt	19	206,928	0	0	0	0	0	**206,928**
Total financial liabilities bearing currency risk		**7,946,529**	**6,336**	**1,309,507**	**13,438**	**158,821**	**14,988**	**9,449,619**
Open gross position derivative assets at contractual value		43,900	0	10,851	9,241	186,395	6,750	**257,137**
Open gross position derivative liabilities at contractual value		212,988	0	0	0	44,149	0	**257,137**
Open foreign currency position		**627,845**	**-11**	**116,530**	**169**	**-205**	**-25**	**744,302**

Currency risk exposures as at 31 Dec 2024

EUR thousand	Note	EUR	CHF	GBP	SEK	USD	Other	Total
Financial assets bearing currency risk								
Cash and cash equivalents, due from central banks and investment companies	9	3,365,275	2,744	435,820	1,593	6,041	6,832	**3,818,305**
Investments in debt and equity securities	10, 11	306,300	1	1	3,472	30	2	**309,805**
Loans and advances to customers	12	4,194,563	18	348,514	198	8,572	228	**4,552,093**
Receivables from customers	14	5,394	-181	-41	421	-490	-367	**4,736**
Insurance contract assets	27	89	0	0	0	0	0	**89**
Reinsurance assets		2,044	0	0	0	0	0	**2,044**
Other financial assets	15	100	0	181	0	0	0	**281**
Total financial assets bearing currency risk		**7,873,765**	**2,582**	**784,475**	**5,683**	**14,153**	**6,695**	**8,687,353**
Financial liabilities bearing currency risk								
Deposits from customers	17	6,032,987	7,485	701,956	7,208	148,864	11,610	**6,910,110**
Loans received and debt securities in issue	19	927,685	0	0	0	0	0	**927,686**
Financial liabilities at fair value	10	24	0	0	0	0	0	**24**
Accounts payable and other financial liabilities	18	33,983	39	8,993	1,448	9,996	334	**54,793**
Insurance contract liabilities	27	15,258	0	0	0	0	0	**15,258**
Reinsurance contract liabilities		1,499	0	0	0	0	0	**1,499**
Subordinated debt	19	126,256	0	0	0	0	0	**126,256**
Total financial liabilities bearing currency risk		**7,137,692**	**7,524**	**710,949**	**8,656**	**158,860**	**11,944**	**8,035,626**
Open gross position derivative assets at contractual value		0	4,983	0	3,054	144,384	5,289	**157,710**
Open gross position derivative liabilities at contractual value		157,710	0	0	0	0	0	**157,710**
Open foreign currency position		**578,363**	**41**	**73,526**	**81**	**-323**	**40**	**651,727**

7.5.2 Price risk

Price risk arises from securities held by the Group in the liquidity portfolio, trading portfolio and investment portfolios (Notes 10, 11). The portfolios subject to price risk mainly comprise securities held by LHV Pank, the pension fund units held by LHV Varahaldus and the investment portfolio of LHV Kindlustus.

Price risk is measured by estimating the potential loss that can be incurred by the Group in a stress scenario. The loss from price risk in the stress scenario should not exceed a prescribed percentage of the Group's CET1 capital. In LHV Pank and LHV Kindlustus, additional limits have been set on the size of the liquidity, trading and investment portfolios where applicable. These entities also apply defined criteria for acceptable credit ratings and other parameters for debt securities they are permitted to hold. Pursuant to the Investment Funds Act, LHV Varahaldus is obliged to hold a minimum of 0.5% of the number of units in each of the II pillar pension funds managed by it.

A sensitivity analysis has been conducted to assess the potential impact of changes in securities prices on the Group's net result. The price movements applied in the analysis are in line with the stress scenarios used by the Group to measure price risk and are based on the historical volatility of the instruments included in the relevant portfolios.

Impact on statement of profit or loss

EUR thousand	2025	2024
Equity securities and fund units +/-26%	+/-236	+/-220
II pillar pension fund units +/-5%	+/-313	+/-315
Debt securities +/-2.0%	+/-342	+/-313

Most of LHV Pank's debt securities are accounted for at amortised cost, so the price fluctuations do not directly affect the statement of profit or loss. Only the debt securities classified as measured at fair value through profit and loss are subject to price risk in LHV Pank. LHV Pank does not hold significant amounts of equity securities (see Note 10).

The sensitivity of the Group's portfolios to changes in the market price, as described above, is low.

7.5.3 Interest rate risk

Interest rate risk arises from the mismatch of the term structure of interest rate sensitive assets and liabilities (gap risk), imperfect correlation of base rates (basis risk), the optionality inherent in the interest rate sensitive instruments (option risk) and the change in credit spreads (credit spread risk). Interest rate risk can arise both from items accounted for on and off the statement of financial position.

The Group manages IRRBB exposures on its balance sheet to ensure that the Group's financial stability remains intact even under adverse scenarios. Structural exposures arising from its core business — namely, funding floating-rate loans with demand and short-term deposits —are however accepted.

Interest rate risk in the banking book is measured by estimating the change of net interest income (NII) and the economic value of equity (EVE) in a number of regulatory and internal stress scenarios, compared to a base scenario. In 2025, The Group introduced a new risk appetite limit based on internal assumptions for financial institution deposits, where the negative impact on NII and EVE in a 100 basis points parallel shift in interest rates must not exceed a certain level of LHV Group's CET1 capital.

The economic value of equity (ΔEVE) analysis assesses the change in the present value of assets, liabilities, and equity under different interest rate scenarios. The analysis is based on the net present value of the cash flows, discounted using the scenario-specific interest rate curves. Cash flows are calculated on a run-off balance sheet basis, applying the assumptions detailed below.

The net interest income (ΔNII) analysis assesses the impact of interest rate changes on the Group's net interest income over the next 12-month period. Interest-bearing assets, liabilities and relevant off-balance sheet items are allocated into time buckets by their repricing date and are assumed to reprice at new scenario-specific interest rates. The NII analysis is performed on a constant balance sheet assumption.

The main assumptions for the calculation of the change in EVE and change in NII are as follows:

- The repricing terms of demand deposits of households and non-financial corporations vary between 1 day and 10 years, depending on their interest rate sensitivity.
- For deposits of financial institutions, immediate repricing is assumed for regulatory scenarios while internal methodology follows behavioural repricing assumptions.
- A 0% interest rate floor is applied to deposits of retail customers.
- For term deposits, contractual maturities are used.
- For loans, contract-specific interest rate floors are used.
- Conditional prepayment rate is used in the assessment of the early repayment of loans.
- Term deposit redemption rate is used in the assessment of the early redemption of the term deposits.
- In the case of items accounted for off the statement of financial position (e.g., loan commitments and credit limits), the credit conversion factor is included in the model, and it is assumed that the use of the limit will increase on a straight-line basis until the expiry date.

A sensitivity analysis has been performed to assess the impact of +/-100 basis points parallel interest rate shift in interest rates on the change in EVE and NII. The following tables presents the estimated changes compared to the base scenario. There is a notable change in the +100 bp scenario, where the NII and EVE are impacted by the methodological change in the repricing of financial institution deposit, from an immediate repricing assumption to behavioural.

Change in net interest income

EUR thousand	2025	2024
+100 bp parallel shift	20,260	12,477
-100 bp parallel shift	-34,148	-34,386

The table below shows the structure of the interest-bearing assets and interest-bearing liabilities of LHV Group grouped by the recalculation dates of interest rates at the principal amounts of receivables and liabilities.

Interest rate sensitivity gap as at 31 Dec 2025

EUR thousand	Note	Up to 3 months	3-12 months	1-5 years	Over 5 years	Subtotal	Accrued interest	Impairments	Total
Financial assets									
Cash and cash equivalents, due from central banks and investment companies	9	4,311,888	515	0	0	4,312,403	0	0	4,312,403
Financial assets at fair value (debt securities)	10	1,995	543	10,711	3,874	17,123	0	0	17,123
Financial assets measured at amortised cost (debt securities)	11	0	181,194	77,187	117,631	376,012	2,147	-95	378,064
Loans and advances to customers	12	2,663,736	2,364,022	385,480	72,173	5,485,411	21,682	-41,702	5,465,391
Total		**6,977,619**	**2,546,274**	**473,378**	**193,678**	**10,190,949**	**23,829**	**-41,797**	**10,172,981**
Financial liabilities									
Deposits from customers	17	4,523,608	2,278,124	1,077,689	223,532	8,102,953	31,485	0	8,134,438
Loans received and debt securities in issue	19	0	117,498	906,731	0	1,024,229	19,388	0	1,043,617
Subordinated debt	19	0	0	204,455	0	204,455	2,473	0	206,928
Total		**4,523,608**	**2,395,622**	**2,188,875**	**223,532**	**9,331,637**	**53,346**	**0**	**9,384,983**
Net interest sensitivity gap		**2,454,011**	**150,652**	**-1,715,497**	**-29,854**	**859,312**			

Interest rate sensitivity gap as at 31 Dec 2024

EUR thousand	Note	Up to 3 months	3-12 months	1-5 years	Over 5 years	Subtotal	Accrued interest	Impairments	Total
Financial assets									
Cash and cash equivalents, due from central banks and investment companies	9	3,817,305	1,000	0	0	3,818,305	0	0	3,818,305
Financial assets at fair value (debt securities)	10	4,569	3,717	6,340	1,045	15,671	0	0	15,671
Financial assets measured at amortised cost (debt securities)	11	1,897	161,094	79,230	39,857	282,078	1,526	-71	283,533
Loans and advances to customers	12	2,307,224	2,046,962	152,302	66,893	4,573,381	18,525	-39,813	4,552,093
Total		**6,130,995**	**2,212,773**	**237,872**	**107,795**	**8,689,435**	**20,051**	**-39,884**	**8,669,602**
Financial liabilities									
Deposits from customers	17	4,403,155	1,895,903	404,886	169,003	6,872,947	37,163	0	6,910,110
Loans received and debt securities in issue	19	0	249,872	664,022	0	913,894	13,792	0	927,686
Subordinated debt	19	0	50,000	75,000		125,000	1,256	0	126,256
Total		**4,403,155**	**2,195,775**	**1,143,908**	**169,003**	**7,911,841**	**52,211**	**0**	**7,964,052**
Net interest sensitivity gap		**1,727,840**	**16,998**	**-906,036**	**-61,208**	**777,594**			

7.5.4 Credit valuation adjustment risk

Credit valuation adjustment (CVA) risk is defined as the risk of losses arising from changing CVA values in response to movements in counterparty credit spreads and market risk factors that drive prices of derivative transactions. Group applies the standardised approach to calculate the capital charge for CVA risk. Group's capital requirement for CVA risk as of 31 December 2025 amounted to EUR 775 thousand (2024: EUR 282 thousand).

7.6 Operational risk

Operational risk is the risk of losses resulting from inadequate or failed internal processes, people, and systems or from external events. Operational risk includes legal risk, ICT risk and reputational risk, but excludes strategic risk. Operational risk is inherent in all products, activities, processes, and systems.

Each manager in LHV is responsible for managing operational risk within their responsibility area. Risk Division is acting as the second line of defence and providing both proper trainings and guidance to implement the operational risk framework, as well as oversight to ensure that the risk profile is within the desired level as described in risk appetite statements.

The operational risk framework is described in the operational risk policy and in other relevant operational risk management procedures. The main processes and tools to manage, i.e., to identify, assess, mitigate, and monitor operational risks are as follows.

Risk and control self-assessment

There is a unified process and method across LHV to assess operational risks of all products and processes. The regularity of self-assessment depends on the criticality level of the product and the process and must ensure that all managers are aware of the risks they are responsible for and apply relevant mitigating and monitoring measures to keep the risk profile within the desired risk level.

Change management and approval process in case of new or significantly changed products, IT systems, processes, organisation, partners (incl. outsourcing), or in case of exceptional transactions

Change management and approval process is designed to ensure all significant changes in products, IT systems, processes, organisation, partners (incl. outsourcing) or significant exceptional transactions are managed with due care and no change is approved before all risk considerations have been taken into account. To achieve this, pre-described risk management rules are implemented, accompanied by independent opinions from the Risk and Compliance Divisions.

Operational risk event and business continuity management

The objective of the operational risk event management is to ensure all events are managed in a proper manner, as well as to learn from the events and use the lessons to prevent similar cases from happening in the future.

Event management activities depend on the event type and severity level. For critical processes business continuity plans are in place and will be activated in case there is a disruption in a critical process. Critical IT systems have recovery plans in place for the same reasons. If needed, crisis management will be applied, steered by the Crisis Committee.

Business continuity plans are regularly reviewed and tested to ensure they are up-to-date and applicable in the event of critical process disruptions.

All events must be reported centrally and registered in a central database for further analysis conducted by the Risk Division. The event data is also used for capital calculation purposes within the ICAAP.

ICT and information security risk management

One of our main goals is to be a trustworthy banking partner to our customers with the focus on providing customer-friendly, secure and resilient digital banking services. Secure and resilient IT systems are key for this objective.

In addition to the general operational risk management framework, dedicated ICT and information security risk management tools and methods are applied to protect the information and customers' assets and ensure the IT systems are available. For example:

- reasonable conservatism is being applied when implementing new configurations to products and services;
- regular security monitoring;
- vulnerability management process;
- security controls in the software development lifecycle
- training of our personnel to increase awareness and prevent actions that may cause security incidents on IT systems and services;
- up-to-date information about developments in the security scene to understand potential weaknesses.

We take seriously and react to all malicious attacks targeted at our own infrastructure, the customer data in our possession, and our customers.

7.7 Other Risks

7.7.1 Compliance risk

The number of regulatory requirements and their constant changes make compliance risk a significant operational risk, the realisation of which can lead to both financial and reputational damage.

The task of compliance function is to manage the compliance risk through various activities. The compliance covers the entire activity of LHV and is not limited to specific areas. However, LHV has separated the AFC compliance function from the general compliance function.

In addition to the tasks set out in the regulatory requirements, compliance function is involved in maintaining and developing the culture of the organisation to promote a culture that supports compliance.

To perform its tasks efficiently, the compliance function, among other things, constantly assesses the need for resources and makes proposals for enhancing and developing the function, where appropriate. Going forward continuous adaptation to supervisory expectations of the ECB and the SRB will influence compliance risk management and thus the compliance function.

7.7.2 Insurance risk

Insurance risk is one of the most important risks for the LHV Kindlustus reflecting the core business of insurance, i.e., taking and managing insurance risk. The most important aspect of insurance risk is the insurance premium and reserve risk deriving from the possible inadequacy of the pricing of insurance contracts and the assumptions used in the assessment of contractual liabilities.

Insurance risk includes catastrophe accumulation risk deriving from extreme or extraordinary events (e.g., windstorms, floods, hailstorms, damage attributable to human causes) during which the materialisation of risks insured under individual insurance contracts accumulate extraordinarily.

Above all, insurance risk involves risks associated with pricing, technical provisions, and adequacy of the reinsurance cover.

LHV Kindlustus operates primarily in Estonia.

LHV Kindlustus has implemented comprehensive risk management measures to continuously monitor portfolio dynamics, ensuring optimal distribution and mitigating potential concentration risks.

Insurance risk is managed and controlled via the following processes:

- establishment of the insurance subsidiary's risk strategy in accordance with the business strategy;
- using actuarial analysis and sound assumptions in pricing of insurance contracts;
- calculation of technical provisions and solvency capital requirement (SCR) by using Solvency II standard formula and holding the necessary liquid assets accordingly;
- assessment of loss reserving assumptions, performing liability adequacy tests and monitoring the profitability of the insurance portfolio;
- conduct regular/irregular own risk and solvency assessment (ORSA);
- use of the reinsurance programme for reinsuring major risks.

7.7.3 Strategic risk

Strategic risk is the risk of losses, including in the form of foregone revenues or additional costs, due to poor strategical planning and/or decisions or due to poor reputation not supporting strategic goals. Strategic risk includes both business, as well as sustainability strategy risk.

Main triggers for strategic risk are changes in different external factors to which LHV does not timely and appropriately adapt to, for example competitive landscape, technological shifts, customer preferences, ESG, especially climate changes, changes in regulation, and industry and product profitability.

Strategic risk is mitigated through the well understanding of the business environment and home markets, as well as risks threatening strategic goals, and considering them in the strategy planning process.

In addition, members of management in Group and subsidiaries (both the Management Board and the Supervisory Board) have long-term experience in the banking sector and/or entrepreneurship. Prior to entering new markets and sectors, professionals in the field will always be involved and a thorough analysis will be carried out.

7.7.4 ESG risk

ESG risk is a risk of loss resulting from current or prospective impacts of ESG factors, i.e., from environmental, social and/or governance factors, as applied directly to the Group or towards its counterparties or invested assets.

ESG risk materialises through other risk categories, such as credit risk, market risk, operational risk, liquidity and funding risk, strategic risk, i.e., acts as a cross-taxonomy risk driver. If ESG risk impact towards main risk is material, it shall be reflected, as a sub-risk under this main risk.

For the identification of material ESG risk drivers a dedicated materiality assessment is conducted, which is the main input for setting risk appetite and relevant risk limits, as well as relevant qualitative risk management tools, for example client engagement.

7.7.5 Reputational risk

Reputational risk, i.e., loss of reputation is one of negative consequences resulting from several LHV main risks. Loss of reputation occurs due to failure to meet stakeholders' (investors, employees, regulators, clients etc) expectations as a result of any event, behaviour, action or inaction, either by LHV itself, its employees or those with whom LHV is associated, that may cause stakeholders to form a negative view of LHV, either justified or not. Good reputation and trust from existing and possible new clients, investors and employees is one of the enablers to achieve strategic business goals. Reputational risk is treated as a gross-taxonomy risk consequence and its management is integrated into existing risk management processes covering LHV's main risk types.

7.8 Financial crime risk

7.8.1 Financial Crime Risk governance

A strong anti-financial crime (AFC) culture is built on a foundation of high awareness and commitment to risk management. This culture is reinforced through ongoing awareness raising, information sharing cooperation and exchanging best practices, state-of-the-art training program, and reporting.

In 2025, we further strengthened our Group-wide approach to identifying and managing financial crime risks through an enterprise-wide risk assessment and coordinated implementation of aligned AFC practises across all obliged entities within the LHV Group. These efforts ensure a consistent and effective framework for the prevention of money laundering, terrorist financing, sanctions breaches, and other forms of financial crime.

AFC framework at LHV is based on 10 core principles that reflect the Group's commitment to ethical conduct, robust compliance and sound risk management:

1) Risk-based approach – allocation to resources proportionate to identified risks;
2) Assessment of risks and establishment of risk appetite – regular identification and assessment of financial crime risks, with a clear appetite defined by the Supervisory Board;
3) KYC – know-your-customer – comprehensive understanding of customers and beneficial owners;
4) Due diligence measures – application of risk-based controls throughout the customer lifecycle;
5) Monitoring and screening – use of advanced technological solutions to detect unusual or suspicious activity;
6) Reporting of suspicious activities – timely and appropriate escalation and reporting to competent authorities;
7) Prohibited relationships – clear definition of unacceptable customers, sectors, or jurisdiction;
8) Information sharing and escalation – effective communication across LHV entities and with external partners in accordance with the law;
9) Training and awareness – ensuring that employees are equipped with the necessary knowledge to identify and prevent financial crime;
10) Data retention - maintaining data in line with legal requirements to support auditability and investigations.

7.8.2 Banking services for financial intermediaries

Through its banking services business line, LHV continued to provide services to other financial institutions (including fintech companies) that in turn can provide financial services to their own customers. Provision of correspondent services to other financial institutions presents a different portfolio of financial crime risks due to indirect exposure with end customers.

LHV applies enhanced, risk-based measures to mitigate these risks, including:

- dedicated relationship management and specialist AFC oversight teams for this sector;
- Enhanced Due Diligence on fintech clients, covering business model, ownership structure, governance, AFC measures, technical capabilities for screening and monitoring, and customer and jurisdiction risk segmentation;
- A programme of periodic (incl. on-site) assessments of clients' AFC frameworks;
- Continuous transaction monitoring designed to detect potential indicators of financial crime, including fraud.

Where risks exceed LHV's risk appetite, remediation measures are promptly taken, which may include the restriction of flows or termination of relationships.